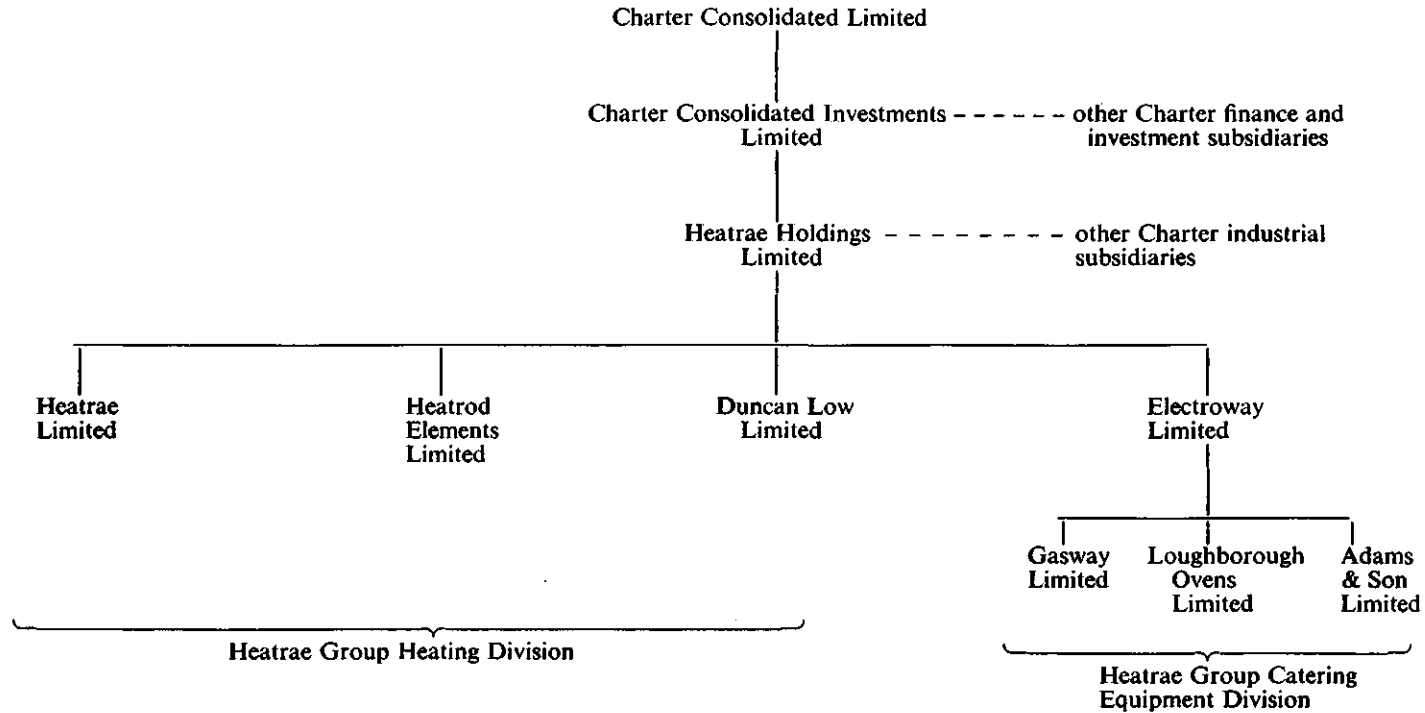


APPENDIX 1

The relationship between Charter, CCI and Heatrae



APPENDIX 2

The subsidiary companies of Charter Consolidated Limited

The following are the major subsidiaries of the company, including those whose activities materially affected the profit or assets of the Charter group during the year. Except where otherwise stated, each of these companies is wholly owned and all the shares or stock held are either unclassified or classified as ordinary.

	<i>Country of incorporation/operation</i>
Finance and investment	
Barnato (Holdings) U.K. Limited	England
The British South Africa Company*	England
The British South Africa Company Investments Limited*	England
Cecil Investments Limited	England
Central Mining Finance Limited	England
The Central Mining & Investment Corporation Limited*	England
Centramic (South Africa) Limited	South Africa
Charmay Limited	Bermuda/England
Charter Consolidated Finance Limited	England
Charter Consolidated Investments Limited*	England
Charter Consolidated (Malaysia) Sendirian Berhad	Malaysia
Charter Consolidated Overseas N.V.	Curacao (Netherlands Antilles)
Charter European Holdings	Luxembourg
Charterlux Limited	Luxembourg
The Consolidated Mines Selection Company Limited	England
The Consolidated Mines Selection (Johannesburg) Limited	South Africa
Equinox Investments Limited	South Africa
Greenpoint Company Limited	Bermuda
Interlink Investments Limited	Canada
Katrine Company Limited	Bermuda
Shafford Holdings Limited	England
Industrial	
THE CAPE ASBESTOS GROUP	
The Cape Asbestos Company Limited (60·9 per cent) (5 per cent cumulative preference shares—100 per cent) <i>Industrial and mining</i>	England
Cape Asbestos Fibres Limited (60·9 per cent) <i>Marketing of asbestos fibre</i>	England
Cape Asbestos Insulations (Pty) Limited (54·8 per cent) <i>Asbestos insulation products and friction materials</i>	South Africa
Cape Distribution Limited (60·9 per cent) <i>Distribution of automotive replacements parts</i>	England
Cape Insulation Limited (60·9 per cent) <i>Insulation products and thermal insulation contracting</i>	England/Scotland
Cape Universal Building Products Limited (60·9 per cent) <i>Asbestos cement products and other building materials</i>	England
Kismet Limited (60·9 per cent) <i>Transport service equipment</i>	England
Marinite Limited (60·9 per cent) <i>Insulation board for ship and building construction</i>	England
Small and Parkes Limited (60·9 per cent) (6 per cent cumulative preference shares—60·9 per cent) <i>Automotive and industrial friction materials</i>	England
Trist, Draper Limited (60·9 per cent) <i>Automotive and industrial friction materials</i>	England
Elastic Rail Spike Company Limited <i>Railway track fastenings</i>	England

Heatrae Limited
Heating equipment

Country of
incorporation/operation
England

Mining

THE CAPE ASBESTOS GROUP

Cape Blue Mines (Pty) Limited (60.9 per cent) <i>Blue asbestos</i>	South Africa
Egnep (Pty) Limited (60.9 per cent) <i>Amosite asbestos</i>	South Africa
Swaziland Collieries Limited (63.4 per cent) <i>Coal</i>	Swaziland

Services

THE CAPE ASBESTOS GROUP

Cape Asbestos South Africa (Pty) Limited (60.9 per cent) <i>Administration of Cape Asbestos group South African companies</i>	South Africa
Anglo American International (UK) Limited (52 per cent) <i>Technical consultancy</i>	England
Anglo Charter International Services Limited (51 per cent) <i>Recruitment and employment services</i>	England
Anmercosa Overseas Service (UK) Limited (51 per cent) <i>Recruitment and employment services</i>	England
Charter Consolidated Services Limited* <i>Administration</i>	England
Charter France (50.3 per cent) <i>Administration</i>	France

*Shares in these companies are held directly by Charter; the shares in the remaining companies are held through subsidiaries.

APPENDIX 3

Makes and models of reference heaters

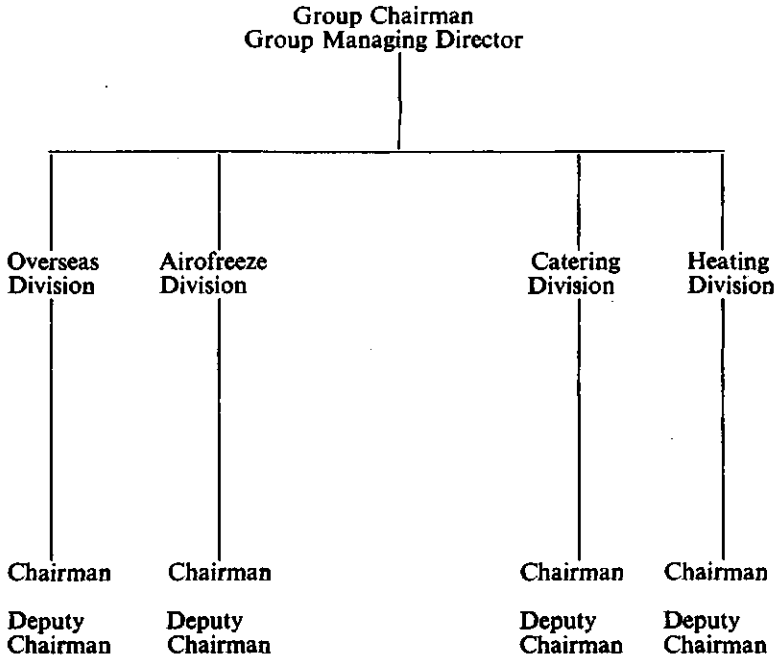
(ie electric storage water heaters with only one outlet [see paragraph 37])

	1.5 gallons	2 gallons	2.2 gallons	2.5 gallons	3 gallons	4.5 gallons	5 gallons	12 gallons	15 gallons
1 kW	2 Heatrae		1 Heatrae 1 Sadia						
1.2 kW			1 Santon						
1.5 kW					1 Sadia		1 Sadia		
3 kW	4 Heatrae 2 Sadia	2 Santon	2 Heatrae 1 Santon	1 Santon	4 Heatrae 1 Sadia	1 Santon	1 Heatrae	1 Heatrae 1 Sadia 1 Santon	1 Heatrae 1 Sadia

APPENDIX 4

Proposed organisation of the merged companies

The enlarged group will be reorganised into four main Divisions as follows:



APPENDIX 5

Heatrae Limited

Table 1

Sales, Profits and return on Capital employed

		11 months to 31 Dec 1970	Year ended 31 1971	1972	December 1973
					£'000s
1. Heatrae group:					
Sales		3,333	3,897	3,917	5,340
Profit/[loss] before interest and taxation		[55]	82	230	586
Average capital employed		2,654	2,813	2,655	2,748
Return on capital employed	%	[2.3]	2.9	8.7	21.3
2. Heatrae Ltd (part of Heating Division):					
Sales		2,482	2,810	2,647	3,348
Profit/[loss] before interest and taxation		[141]	[91]	[22]	291
Average capital employed		1,918	2,106	1,965	1,897
Return on capital employed	%	[8.0]	[4.3]	[1.1]	15.3
3. Remainder of Heating Division companies:					
Return on capital employed	%	7.7	14.4	18.4	23.2
4. Total—Heating Division					
Return on capital employed	%	[5.0]	[1.8]	1.7	16.7
5. Catering Division					
Return on capital employed	%	24.9	36.7	54.6	44.4

Table 2

Heatrae group—sources and uses of funds from 1 January 1971 to 31 December 1973

Sources		£'000s	£'000s
Sale of fixed assets (net of depreciation written back)			354
Depreciation			213
Net increase in tax and other provisions			285
Group sources			11
Total sources			863
Uses			
Fixed assets purchased			433
Additional working capital			
	Stocks	403	
	Debtors and Cash	238	
		641	
		[469]	
Deduct: Increase in creditors			172
Overdraft repaid			258
As above			863

APPENDIX 6

Sadia Limited

Table 1

Sales, Profits and return on capital employed

		£'000s			
		Year ended 28 February			
		1971	*1972	1973	1974
1. <i>Sadia group</i>					
	Sales	2,754	3,043	3,225	3,591
	Profit/[loss] before interest and taxation	[14]	53	140	270
	Average capital employed	1,119	1,253	1,410	1,648
	Return on capital employed %	[1.3]	4.2	9.9	16.4
2. <i>Sadia Water Heaters Ltd</i>					
	Sales	1,714	1,861	1,554	1,685
	Profit/[loss] before interest and taxation	[51]	[26]	[15]	61
	Average capital employed	790	812	900	1,010
	Return on capital employed %	[6.5]	[3.2]	[1.7]	6.0
3. <i>Sadia Airofreeze Ltd</i>					
	Sales	†385	535	665	859
	Profit before interest and taxation	8	29	64	91
	Average capital employed	126	148	200	265
	Return on capital employed %	6.3	19.6	32.0	34.3
4. <i>Overseas Companies (2)</i>					
	Sales	655	647	1,006	1,047
	Profit before interest and taxation	29	50	91	118
	Average capital employed	266	293	310	373
	Return on capital employed %	10.9	17.1	29.4	31.6

* Year ended 29 February.

† Taken over on 21 February 1970.

Table 2

Sadia Water Heaters Limited—manufacturing company

Sources and uses of funds from 1 March 1971 to 28 February 1974

		£'000s	£'000s
<i>Sources</i>			
	Fixed assets sold	658	—
	Deduct: fixed assets purchased	459	
			199
	Depreciation		71
	Dividend from subsidiaries		10
	From internal sources		280
	Investment grant		5
	Increase in overdraft		207
	Total sources		492
<i>Uses</i>			
	Trading losses less 1973-74 profit (before interest)		31
	Interest paid		178
	Total net losses		209
	Relocation expenses		155
	Additional working capital		128
	As above		492

